

- The entrepreneur needs to be aware of how things are being done in the industry so that he knows what to expect from different players who are following different practices.
- This knowledge gives the entrepreneur the ability to spot firms within the industry that are doing things differently.
- It also allows the entrepreneur to comprehend management communication and future strategies in a much better manner.

As a result, it can be concluded that knowledge of how things are done complements the knowledge of what things are being done. Knowledge of how things are being done (industry practices) involves answering questions such as these:



How are employees hired and trained in the industry?



How are technology upgrades installed?



What software does the industry use for its operations?



How does the R&D department work?



What is the product innovation process?



How are the raw materials procured?



How are logistics, warehousing of raw materials and finished products done?



What manufacturing process is being used? What technology is being used?



How are marketing and sales done?



How is after-sales service provided and feedback collected from the customers?

The questions are sample questions that allow an understanding of industry practices. The list by no means is exhaustive. 'How' questions can be asked for almost every activity done by the firms in an industry. The entrepreneur or business manager should try and identify critical activities for success in the industry through a thorough reading of the industry's history and try doing things differently. However, this should not be done merely for the sake of being a contrarian in the industry. The attempt must be backed by proper research and logic.